



DepEd-DBM Consultation Meeting

ECP Reclassification: Funding Gaps and Strategies

JULY 9, 2026

RECAP OF PREVIOUS TECHNICAL MEETING:

DepEd-DBM Consultation Meeting | May 5, 2026

AGENDA	AGREEMENTS/RECOMMENDATIONS
Reclassification Budget Deficit: <i>FY 2025 Unfunded Recurring Cost (Pertaining to the payment of salary differentials of personnel appointed and issued NOSCA from May to December 2025)</i> <i>FY 2026 Expenses (Pertaining to Salary Differential Payment for those appointed and with issued NOSCA from January 2026 onwards)</i>	- DepEd to re-compute and validate the budget deficit data and fiscal impact - DepEd shall explore the possible utilization of the available FY 2026 New School Personnel Positions(NSPP) – Lumpsum appropriations for the filling-up of teaching positions to cover the identified deficit.
Remaining Reclassification Applications: <i>Under DBM's Processing and Approval</i> <i>Remaining Applications in the CAREER</i>	- All remaining applications currently under DBM processing and approval shall be returned to the DepEd Regional Offices (ROs) pending the availability of funds. - All remaining applications in the CAREER shall be submitted next year and charged against FY 2027 budget.
Timeline for the submission of reclassification applications to DBM	DepEd to study the most appropriate timeline to avoid annual recurring deficits

MEETING AGENDA:

- 1** Presentation of Updated Reclassification Funding Gaps and Requirements by region
- 2** Discussion of Funding Sources and Strategies
- 3** Implementation Directions and Priority Actions for Field Offices
- 4** Other Matters
 - Special Hardship Allowance (SHA)

PROPOSED FUNDING STRATEGIES AND DIRECTIONS

CONCERN	PROJECTED COST	AGREEMENTS WITH DBM	POLICY DIRECTIONS
Reclassification Budget Deficit	8,678,594,399	NSPP Filling up of positions unreleased appropriation from regions with below 10% filling up rate as of April 2026 (Exploration of other Available PS line-item budget under APB)	Regions with identified funding deficits (<i>CAR, I, II, IV-B, V, VI, VII, IX, X, XI, and XII</i>) - These regions shall be advised to temporarily hold the submission of all ongoing reclassification applications to the DBM, except for retitling, which do not involve changes in salary grades or compensation. - These regions may still be allowed to evaluate reclass applications but up to DepEd RO level only (For pooling) Regions with Remaining Budget (<i>NCR, NIR, III, IV-A, VIII, and CARAGA</i>): - Regions with remaining reclassification funds shall continue processing and submitting applications to the DBM until their FY 2026 allocations are fully utilized. - PS salary differential of all applications with issued NOSCA and appointment from May 2026 to December 2026 shall be charged against FY 2027 Reclass Budget.
Remaining Reclassification Applications	- Under DBM's Processing and Approval: 2,447,320,348 - Remaining Applications in the CAReR: 7,155,385,271 TOTAL: 9,602,705,616	FY 2027 Reclassification Budget under ECP	These applications shall be prioritized in the next budget cycle (FY 2027) and shall not be required to re-undergo or repeat assessment.

Updated FY 2026 Reclassification Funding Gaps and Requirements by Region

Region	FY 2026 GAA Reclassification of Positions	Chargeable Against FY 2026 Budget		Fiscal Impact	
		Unfunded Recurring Cost (Pertaining to the payment of salary differentials of personnel appointed and issued NOSCA from May to December 2025)	FY 2026 Funding Requirements (Pertaining to Salary Differential Payment for those appointed and with issued NOSCA from January 2026 onwards)	Total Funding Requirements	Deficiency (Total Chargeable Less FY 2026 Reclass Budget)
CAR	137,837,000	1,189,087,476	2,757,648	1,191,845,124	1,054,008,124
NCR	499,612,000	*With Certification of no Deficits			
NIR	303,340,000	*With Certification of no Deficits			
Region I	355,304,000	806,300,995	1,256,689,087	2,062,990,082	1,707,686,082
Region II	261,172,000	138,110,902	347,773,548	485,884,450	224,712,450
Region III	635,165,000	*With Certification of no Deficits			
Region IVA	725,932,000	*With Certification of no Deficits			
Region IVB	243,271,000	965,000,602	98,336,356	1,063,336,958	820,065,958
Region IX	303,186,000	217,563,479	254,403,216	471,966,695	168,780,695
Region V	477,704,000	567,652,697	730,360,990	1,298,013,687	820,309,687
Region VI	308,658,000	94,695,076	2,415,964,878	2,510,659,954	2,202,001,954
Region VII	392,518,000	233,250,331	792,524,119	1,025,774,450	633,256,450
Region VIII	394,325,000	*With Certification of no Deficits			
Region X	303,671,000	694,649,543	290,911,129	985,560,672	681,889,672
Region XI	317,181,000	463,534,533	211,481,839	675,016,372	357,835,372
Region XII	275,175,000	271,895,723	11,327,232	283,222,955	8,047,955
Region XIII	214,382,000	*With Certification of no Deficits			
TOTAL:	6,148,433,000	5,641,741,357	6,412,530,042	12,054,271,399	8,678,594,399

Source: Reclassification Data Report from Regional and Division HRMOs as of July 7 2026

PROPOSED FUNDING STRATEGY:

Concern: Reclassification Budget Deficit:

- FY 2025 Unfunded Recurring Cost (Pertaining to the payment of salary differentials of personnel appointed and issued NOSCA from May to December 2025)
- FY 2026 Expenses (Pertaining to Salary Differential Payment for those appointed and with issued NOSCA from January 2026 onwards)

Projected Costs: 8,678,594,399

Fund Source:

- NSPP Filling up unreleased appropriation from regions with **below 10% filling up rate** as of April 2026
- **Should the NSPP filling up be insufficient, can additional funding be sourced from the MPBF?*

Region	Filling up Rate	Unreleased Appropriation (NSPP – Lump Sum for Filling- Up of Positions as of June 30, 2026)	Proposed Amount to be Pooled and Transferred to DepEd CO *Regions with less than 10% filling up rate as of April 2026	Net Amount After Pooling
CAR	14.5 %	263,295,690	-	263,295,690
NCR*	-3.9 %	3,492,708,933	2,223,215,154	1,269,493,779
NIR*	-1.2 %	1,690,085,165	523,216,295	1,166,868,870
Region I	11.8 %	1,587,473,000	-	1,587,473,000
Region II	10.5 %	763,571,845	-	763,571,845
Region III	13.4 %	1,368,439,492	-	1,368,439,492
Region IVA*	7.4 %	3,269,042,000	2,023,216,295	1,245,825,705
Region IVB*	-0.1 %	1,296,308,964	423,216,295	873,092,669
Region IX*	0.1 %	881,749,786	223,216,295	658,533,491
Region V*	3.0 %	1,094,008,837	423,216,295	670,792,542
Region VI	22.5 %	1,496,360,365	-	1,496,360,365
Region VII*	3.0 %	1,352,483,431	723,216,295	629,267,136
Region VIII*	-4.7 %	1,069,378,877	223,216,295	846,162,582
Region X*	1.7 %	1,698,776,000	523,216,295	1,175,559,705
Region XI*	3.8 %	1,737,526,000	623,216,295	1,114,309,705
Region XII*	4.3 %	1,318,607,923	523,216,295	795,391,628
Region XIII*	6.2 %	492,640,679	223,216,295	269,424,384
TOTAL:	5.3%	24,872,456,987	8,678,594,399	16,193,862,588

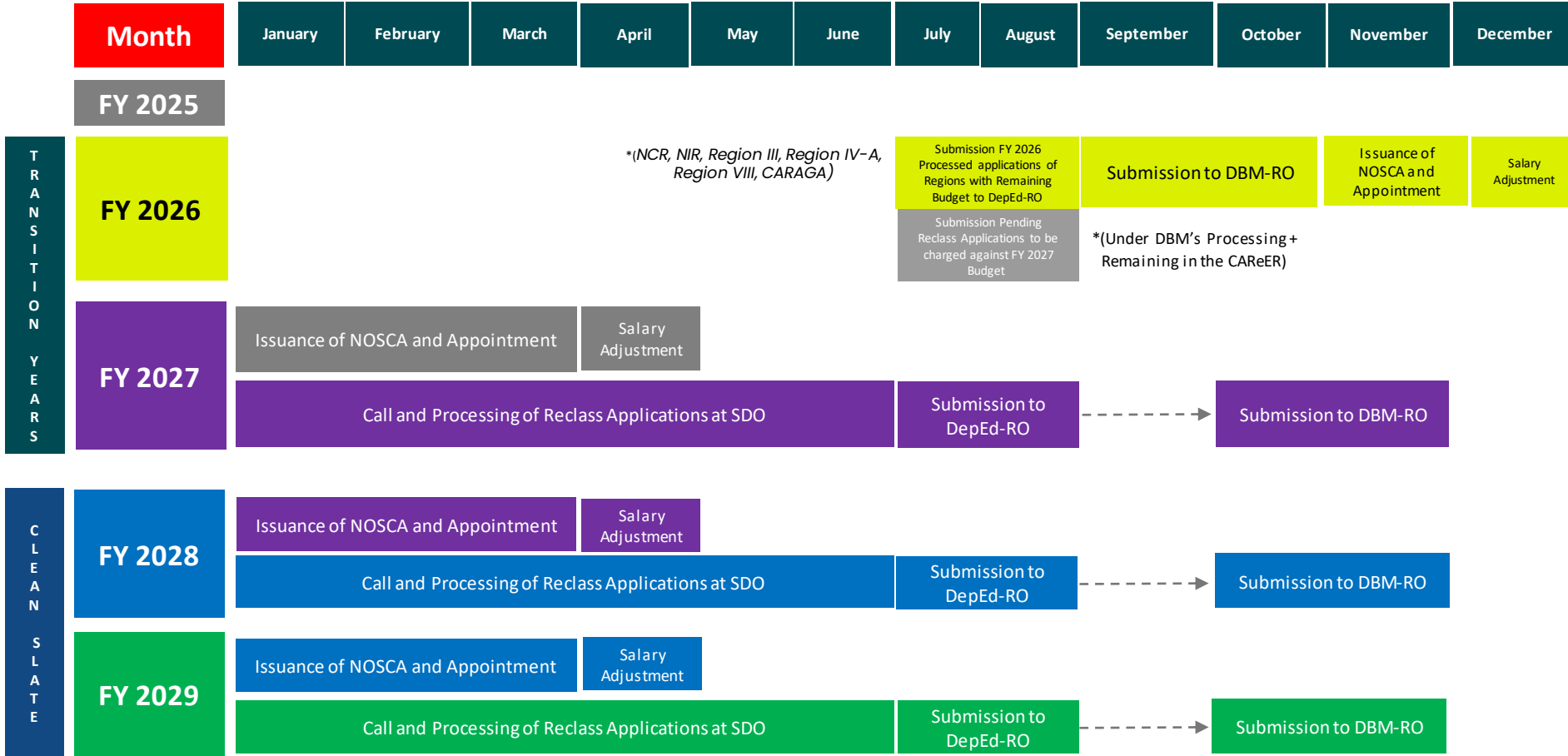
Source: Status of FY 2026 New School Personnel Positions as of June 30, 2026

Pending Reclassification Applications

Region	Under DBM's Processing and Approval		Remaining in the CAREER		TOTAL		Proposed Funding Source
	Physical	Financial	Physical	Financial	Physical	Financial	
CAR	15	3,546,332	856	79,866,885	871	83,413,217	FY 2027 Reclassification Budget under ECP
NCR	31	1,093,961	1,120	75,710,895	1,151	76,804,857	
NIR	6,965	624,533,672	155	14,540,392	7,120	639,074,063	
Region I	792	74,569,179	5,100	510,491,564	5,892	585,060,742	
Region II	10	387,173	4,927	494,651,064	4,937	495,038,236	
Region III	14,902	1,503,725,890	19,721	2,015,700,933	34,623	3,519,426,822	
Region IVA	331	15,599,536	15,778	1,420,711,493	16,109	1,436,311,029	
Region IVB	17	458,758	26	2,350,832	43	2,809,590	
Region IX	35	1,235,118	3	333,326	38	1,568,444	
Region V	479	31,527,078	1,806	180,789,593	2,285	212,316,671	
Region VI	581	51,791,195	441	41,697,967	1,022	93,489,162	
Region VII	19	670,493	3,317	295,415,907	3,336	296,086,399	
Region VIII	1,168	89,609,866	12,033	1,034,848,005	13,201	1,124,457,872	
Region X	31	1,093,961	4,991	481,613,811	5,022	482,707,772	
Region XI	504	40,460,300	3,610	347,852,788	4,114	388,313,088	
Region XII	3	105,867	-	-	3	105,867	
Region XIII	93	6,911,969	1,678	158,809,816	1,771	165,721,785	
TOTAL:	25,976	2,447,320,348	75,562	7,155,385,271	101,538	9,602,705,616	

Source: Reclassification Data Report from Regional and Division HRMOs as of July 7, 2026

ECP Reclassification Process Timeline



WAYS FORWARD:

ACTION	PROPOSED TIMELINE
DepEd shall submit a Special Budget Request (SBR) to the DBM to pool the unreleased appropriations under the NSPP filling-up amounting to 8,678,594,399 and centralize the corresponding funds at the DepEd-CO for efficient allocation and utilization.	• July 16, 2026
HROD and Finance Service shall jointly issue a strand Memorandum to disseminate implementation directions and provide guidance on financial and HR actions.	• July 20, 2026
HROD and Finance Service shall hold an orientation with HRMOs, Budget Officers, and other concerned personnel involved in the processing of reclassification of position under ECP.	• July 23, 2026